that beneficiaries are being defrauded by the trustee. Hence audit of trust accounts helps to protect the beneficiaries against unscrupulous trustees. The provisions of the Public Trust Act and Trust Deed provide that accounts of trusts should be audited by a qualified auditor.

It is the duty of the auditor to verify the transactions and books of accounts of trusts and certify the truthness and fairness of the working of the trusts. When trusts are audited by a qualified auditor, it will help both the trustees as well as the beneficiaries. Trustees will be benefited because there will be no unnecessary criticisms against them. The beneficiaries will also be benefited because they will be assured that the accounts have been properly maintained and that there has been no misappropriation of trust money or fraud.



SUMMARY

- **Audit of Sole Proprietor:** Sole Proprietor or trader is a person who solely owns, manages and controls a business. There is no legal compulsion for audit of accounts of a sole proprietor but usually business concerns get audited especially when the volume of transaction is large.
- **Audit of Partnership Firm:** The Indian Partnership Act, 1932 does not require audit of a

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